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MAINLAND LECTURE CENTER

ENT308: FAMILY BUSINESS AND SUCCESSION PLANNING

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What is family business

Family business is the most prevalent form of business in the world. the business provides financially for the family, the family provides human resources which could be paid or unpaid for the business. A family business is defined as a firm that is dominantly owned, managed, governed/controlled by a family, with the intention to retain the ownership and control of the business within the family across generations.

Historical Review of Family Business Dynasties

Historically, family businesses came into prominence during the early stages of industrialisation in the eighteenth and nineteenth centuries in Western Europe. Record high market failures were experienced in most European countries and the recognition of businesses with family involvement were notable due to their significant intervention role during this period. Wealthy families in Western Europe played significant roles in rescuing some major economies within this region before the twentieth century. Most industrialised countries saw the emergence of family businesses especially during this period as timely. Over a century ago, traditional Asian, African, Western European and North American communities would refer to any trading establishment by the name of the family behind it. History provides many examples wherein dynastic families play prominent roles in new venture creation within their communities.

Evolution of Family Business Research

Family business was not accepted as an independent field of research until approximately two decades ago, mid 1970s despite its long existence and contribution to the economies of western countries. This makes it a relatively young field of enquiry with most research articles written over the last two decades. The breakthrough experienced in the field of family business, especially with its inclusion in mainstream academic can be attributed to the persistence and strong efforts of family business practitioners during the early stages of publications on the subject. The following names were attributed to the early work done on family business in literature: Richard Beckhard, Leon Danco, Gibb Dyer, Barbara Hollander, Ivan Lansberg, Harry Levinson and John Ward.
the foundational conceptualisation of family business was embedded in studies involving the behavioural patterns of small business owners. These researches were based on observing the personal attributes and behaviours exhibited by an entrepreneur whose small business accommodates the involvement of family members. The behaviour of this type of entrepreneur (1) was thought to be different from the entrepreneur (2) „who separate family" from their business. The entrepreneur (1) is believed to thrive on goals which are clearly different from entrepreneur (2). The two overarching goals suggested in the literature for entrepreneur (1) are: the drive to keep the business alive and relevant and the desire to pass it on to the next generation within his family. These observations and others sparked up research on this form of business enterprise. Due to the efforts of practitioners behind these early researches, family business research began to gain recognition within the academic community, among prominent business journals professional associations and conferences. Other successes recorded in family business research are development of key research areas such as succession; ownership; control or governance; performances of family business; kinship and family networks; organisational culture; entrepreneurial; orientation; corporate governance; finance and theories for family business research

what is family

A family is referred to as a permanent body consisting of individuals who are bound together by „obligation" rather than by contract as it exist in corporate organizations. Historically, the family was traditionally made up of father, mother and children. In some rural and typical ethnic societies, extended family members made up of brothers,

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sisters, cousins, uncles, aunties, grandparents are important when defining family.

What are the duties/Responsibilities/functions of Individual Family Members

Below summarises the responsibilities of each individual member of the family to the family.

Obligation

Family members are expected to maintain a sense of duty through being obligated to the family, mostly placing the interest of the family above their individual interests. Obligations tie each individual to the family, its beliefs, values, ethics, and other demands

Culture

This is the way of life built into individual family members. Family culture represents beliefs within the family system which dictates their attitude, influences their perception

Values

Family values are usually viewed as positive attributes within the family system. Family values teach unity, love, tolerance, honesty, giving to less privileged people and entrepreneurial behaviour. These are planted into individuals within the family system and are expected to be upheld by each member of the family Individual family members are expected to maintain a sense of loyalty to the family name hence behave appropriately both within and outside the family circle.

Trust

Individual family members are expected to make sincere efforts in maintaining their commitments to the family especially along the following areas discussed above: duty; family beliefs; family values and ethics

Procreation

The demand to carry on the family name leads to procreation. There is a natural responsibility on each individual member of the family to ensure that the family name does not go into extinction. The survivability of the family is crucial to the family and of the means of achieving this is to ensure that the family carry on its existence.

What are the Functions of the Family to its Members and the Community

Family Function	'Individual Family Members' as Recipient	'Community' as Recipient
Membership	Provides a sense of belonging, personal and social identity	Controls the reproductive function within the community
Economic Support	Provides basic needs of food, shelter and clothing; Provide financial assistance to its members when needed	Provides breeding ground for healthy family members who have little or no need for public support
Training	Provides adequate nurturing in family values; culture; and traditions which usually promote wholeness in its members. Provides training in basic skills and also appropriate education for its members; Provides physical, psychological, social and spiritual development of its members	Prevents antisocial behaviour in its members through proper training in family values and culture; Provides productive family members into the community; Prepares family members for proper integration into the community
Security	Provide protection and support for its members	Prepares well-behaved individuals who are willing to believe in the community and also serve the community accordingly

What is family orientation

Family Orientation „FO" construct was developed to provide a clearer picture on how individual family members relate to the family. This might help in the understanding of how individuals within a family business behave. Family

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Orientation provides a detailed explanation of how individual family members relate to the family.

What are the five dimensions that explain family orientation

Tradition

Tradition refers to the recognition of a shared history and practices that connects individual family members to each other. Under, family orientation construct, tradition is a fundamental element.

Stability

Stability refers to the sense of permanence in any system. In a family, stability represents those aspects of the family that ensures that its legacy is preserved and continued.

Loyalty

Loyalty is central to the other dimensions. It is the force that binds a family together. Without loyalty on the part of individual family members, the willingness to follow set traditions; maintain stability within the family; trust people, earn other people‟s trust; and ensure dependency on each other, cannot be achieved

Trust

Trust is defined as a psychological state comprising of the intention to accept a vulnerable position by a party based on a positive expectation of the intention or behaviour of the another party

Interdependency

Within the family, it is a common practice that people depend on each other for various reasons and different things. Members of the same family look up to one another for support physically, emotionally, financially and spiritually. There is a natural confidence (mostly based on emotional ties) that if a need arises within the family or among any of its members, other members will be willing to bridge the gap without much solicitation.

What are the five main characteristics identified under tradition as the dimension of family orientation

1) Identification of roles by individuals within the family; this is based on expectations placed on children by their parents and vice versa
2) Rituals and Routines: Rituals are used to communicate the practices of the family. It is connected with emotions and attitudes and tends to have a transgenerational impact. Examples of rituals are familial celebrations like birthdays and holidays
3) Sharing the same family history;
4) Having similar approach to issues; and
5) Legacy: maintaining the superiority of the family at all times.

What are the five main characteristics identified under stability as the dimension of family orientation

1) Homeostasis: maintaining a similar posture or balance;
2) Maintaining predictable interaction patterns such as routines and rituals discussed above;
3) Governed by rules achievable through set boundaries;
4) Change is usually resisted and continuity or permanence is desired; and
5) There are penalties for unacceptable behaviour.

What are the five main characteristics identified under loyalty as the dimension of family orientation

1) Sense of duty and obligation;
2) Sense of commitment;
3) Priority on togetherness;
4) Sense of indebtedness: this is guided by feelings of guilt. Being loyal to a union or relationship naturally breeds trust, the next dimension.

What are the five main characteristics identified under Trust as the dimension of family orientation

1) Safety;
2) Protection;
3) Fairness and reciprocity; and
4) Trustworthiness. Trust in a relationship usually leads to dependency, the last dimension

What are the five main characteristics identified under Interdependency as the dimension of family orientation

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1) Reliance on one another;
2) Cohesion;
3) Emotional ties and closeness; and
4) Support of family members.

How does the family orientation construct connect with the functions of the family system?

the FO construct and functions of the family (at different levels) connect easily. Individuals with strong family orientation are expected to be strong in the following areas: tradition, stability, loyalty, trust and interdependency. Similarly, family members are under strong obligation to maintain the family tradition by adopting its values and practising its culture. Loyalty, which is central to all attributes of the family as a whole is based on strong ethics. Trust is based on strong emotional ties among family members and promotes interdependency or cohesion.

Who are the Family Firms?

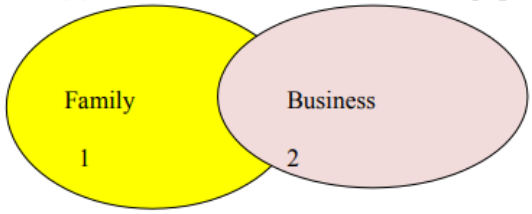
A family firm draws its specialness from shared history, identity, and common language of the family.

What is family business

a family business is a distinct form of business separate from other types of enterprises termed as „non-family businesses" in their behaviour, values, culture, long-term orientation, performance, operations, institutional requirements, decision-making, composition, strategic orientation; and most importantly, their contributions to the economy and society at large.

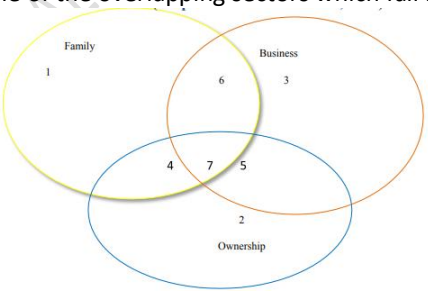
What is the dual circle model of family

The dual circle model describes the involvement of a family in the business system. This model was used over the years to provide a useful platform for early researchers, academics and practitioners to analyse complex organisational behaviour, strategy, family dynamics, organisational decisions and attitudes that occur within family businesses. The underlying conceptual model then held that the family firm is made up of two overlapping subsystems: the family and the business, with each system having norms, rules, values and structures peculiar to it. The dual circle model clearly shows the challenges facing all family enterprises which is trying to harness any conflicting goal of the two subsystems and also finding the right strategies that satisfies both.



What is the three-circle model of family

The three-circle model sheds more light on the relevant attributes, peculiarities, distinctiveness as well as possible conflicts that may exist between these two systems. The model describes the family business system as three independent but overlapping subsystems: business, ownership and family. The underlying idea behind the concept suggests that any individual in the family firm can be placed in one of the seven sectors formed by the overlapping circles of the subsystems. In the event that an individual has more than one connection to the firm, he/she will be in one of the overlapping sectors which fall in two or three of the circles at the same time.



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Explain The Sustainable Family Business Model – SFB (1999)

The sustainable family business model is another early theoretical model that was used to differentiate family businesses from other types of business. The premise of this construct is on family systems theory that highlights the key characteristics of family system and business system respectively. These characteristics were used to develop a model by Stafford, Duncan, Dane and Winter (1999). They propose that the two systems (family and business) exist independently but with an underlying assumption that they could interplay to achieve a mutual sustainability of family businesses. The authors also use their model to show that both family and business systems are affected by environmental and structural changes, and they both react to those changes differently. the Sustainable Family Business Model was created to guide empirical research in identifying those unique characteristics that exist in the interaction of family and business systems which may lead to the sustainability of family firms

Explain the theory of Familiness

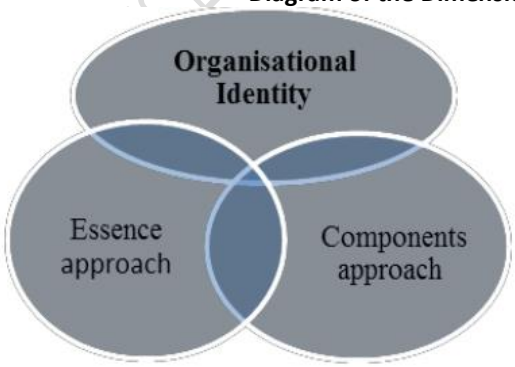
The theory of familiness is built on the familial relationship that exists among individual family members involved in the business and its subsequent effect on the performance of the firm. Familiness, according to Habbershon and Williams (1999), is defined as "the idiosyncratic firm level bundle of resources and capabilities resulting from the interactions among three systems – the family, family members, and the business." Similarly, Chrisman et al., (2003) define the construct as resources and capabilities related to family involvement and interactions," while Pearson, Carr and Shaw (2008) describe familiness as the resources and capabilities that are unique to family involvement and interactions with the firm. This systematic interaction of the family, business and individual family members is responsible for creating the unique resources and capabilities for family firms. The concept of familiness has further contributed to the literature on family business by promoting the understanding of the collaboration that exists among three independent systems.

What are the competitive advantages which a family firm has over a non- family firm

The competitive advantages which a family firm has over a non- family firm might have its foundation in these four conditions.

Time	Closure	Interdependence	Interaction
Family structure promotes longevity in terms of value, culture, vision. Relationships within the family system are not	Family firms' exhibit closure through early involvement of children in the business; continued active involvement of the founding	Family firms in nature, provides a higher level of interdependence within their social structure than non-family firms. This contributes	Family members within the firm continue to interact even after business hours. This is required for maintenance of social capital.

Diagram of the Dimensions of Familiness



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Explain The Bull's Eye Model (1996)

Shanker and Astrachan (1996) proposed the Bull‟s Eye Model for a clearer identification of the components of family involvement in a business. The Bull Eye‟s model was a employed a quantitative approach to assess the contributions of family businesses to the United States of America and its economy. Furthermore, the model engaged a multidimensional approach to provide a continuum definition for family business, and this differentiates the Bull Eye from most other earliest approaches that focused mainly on separating family business from non-family businesses.

What are Four Elements of Family Business

- Perception: How does the chief executive office perceive the company, family business or otherwise?
- Ownership: Is the majority ordinary voting shares owned by members of the largest family group?
- Management: Is the management team primarily drawn from the single dominant family group that owns the business?
- Intergenerational Transfer: Has the company experienced a generational transfer to a second or later generation of family members drawn from a single dominant family?

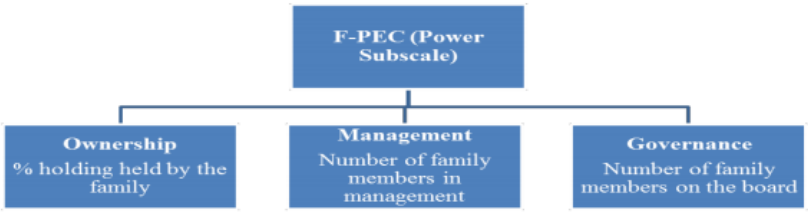
explain the Family Influence-Power, Experience and Culture Scale (F-PECScale)

Another approach widely used in the literature to measure family involvement in a firm in the continuum is the F-PEC scale. This scale developed by Astrachan, Klein, and Smyrnios (2002) further expands our understanding of how to measure the quantum of family influence in a firm. The F-PEC scale builds on previous studies that introduced the use of continuous scale measure such as: Shanker and Astrachan, (1996); Westhead and Cowling, (1998); and Chua, Chrisman, and Sharma The F-PEC scale is considered unique because of its combination of two approaches to define family business. They are familiness (discussed previously) and the components of family involvement which are mainly reflected in ownership, management, governance and succession.

What are The three important dimensions associated with the F-PEC scale

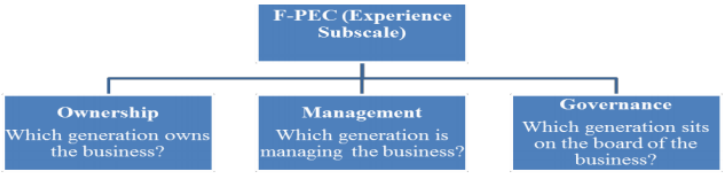
Power

Power refers to dominance. It measures the family‟s influence in the firm through ownership, management and governance of the firm. Figure 5 below shows how the Power subscale measures family influence.



Experience

The total experience in knowledge, skills and number of years is what this subscale measures. The items being measured by the experience subscale are shown in the figure



Culture

In the context of an organisation, culture is subsumed in the shared values, experiences and basic assumptions of its founders. In the broadest sense organisational culture refers to shared values that guide the members of an organisation on how to behave (O‟Reilly & Chatman, 1996). It is a pattern of shared basic assumptions learned by a group as its solved its problem of external adaptation and internal integration, which has worked well enough to be considered valid, and therefore, to be taught to new members as the correct way to perceive, think and feel in relation to those problems

Definitions of family business

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Some definitions found in the literature for family business are as follows:
 the largest percentage of shares in a business is owned by a family
 when the family is actively involved in firm management and the intention of the family members is to retain ownership of the firm
 as an enterprise in which two or more family members hold 15 percent ownership, family members are employed in the business, and the family intend to retain control of the firm in the future
 a firm that has the owning family in executive and other key positions
 the extent to which the family intends to maintain significant involvement in the future
 the number of owning family‟s generations involved in the business
 the number of family members involved in ownership and/or management
 the influence of a family on ownership, governance, management of a firm and their direct participation in the strategic direction, involvement in day-to-day running of the business and their intention to retain voting control
 Family firm was defined as those in which ownership lies within the family and at least two family members are employed by the business
 a firm controlled and managed by one individual who employs only immediate family members and has some degree of his or her family identity connected with the business.
 as one controlled and managed by a collection of relatives who represents multiple generations of one family but has a significant number of non-family employees
 a firm in which the direct descendants of the founder has ownership and/or management control
 as one with multiple members of the same family involved as major owners or managers either contemporaneously or over time
 a business partly owned by one or more family members who together control at least 20% of the total assets outstanding
 as those with evidence of family ownership and succession with two or more individuals are related by blood or marriage and are directors and/or shareholders

Define a family business

A family business is defined as a firm that is dominantly owned, managed, governed/controlled by a family, with the intention to retain the ownership and control of the business within the family across generations.

What are the main components of family involvement

Ownership

The ownership of a firm belongs to the person/person or group that holds the controlling shares. Ownership is represented through either of these two definitions: the number of shares an individual or a family owns in a firm; or the percentage of shareholding or voting rights held by a group in a firm. A group that has an overall significant ownership interest in a firm is believed to h o l d a strategic position in shaping its performance outcome across different generations

Management

The management team is hired either internally or externally to organise and coordinate all the affairs of a firm, in accordance with the objectives and policies given by its owners. Therefore if the family has significant presence in the management team, that firm may be considered as dominantly family.

Governance and Control

Governance is another important and key element of family involvement in a business. It is a role that is reflected in family member‟s involvement in directing the relationships and occurrences within the firm. Governance role involves control and decision making. Other governance roles as identified in the literature in family SMEs include: monitoring, providing advice, creating external legitimacy for the company, disciplining, networking, providing access to capital.

Succession

The succession plan of a family firm shows its long-term goals. The position of key researchers is that the exclusion of trans-generational involvement from defining family business makes it incomplete. This is because multiple generation involvement in family firms has been linked with continuity, sustainability and a firm‟s focus on innovation.

Family Employees

Family members represent important sources of human and social capitals for both old and new enterprises. Empirical studies have established that families depend on the easy access to a pool of human capital from among family

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members to work within their firms, especially during the early days of such businesses. Family employees, based on their emotional tie to the firm, would be more committed to long hours of work, less pay and provision of external networks, which may eventually translate to competitive advantages for family firms.

Family Culture

Culture refers to a cumulative set of assumptions that guides the belief systems of a group of people. Culture is referred to as the phenomena beneath the surface that constrain and guide behaviour (Gill, 2009). It is cultivated, learnt and mostly enhanced by its clarity and acceptance so it can be managed. Culture is not genetically created but on the contrary, it is learnt either from the society in which an individual was nurtured or an organisation in which he/she works

Distinctiveness of a Family Business

the distinctiveness of a family business from other forms of businesses is defined by the following characteristics: the presence of a family in the firm; the overlap of family roles in ownership, management and governance which may prompt its decision to transfer the firm to the next generation; tacit knowledge transferred from one generation to the other; long-term orientation; and strong family values.

What are the five theories that are frequently used in family business research to connote the distinctiveness of family businesses among different forms of organizations

- **The Systems Theory**

The systems theory is a theoretical approach that was used in the scholarly study of family business. It presents the family firm as a model with three overlapping, interacting and independent subsystems of family, management and ownership. It suggests that each system maintains its boundaries which separate it from the other subsystems and the general external environment in which the family business operates in

- **The Resource-based View (RBV)**

The Resource-based view theory of the firm seeks to answer the question of why some firms perform better than the others. It is an economic tool used to determine the strategic resources available to a firm" (Barney, 1991). The RBV has been and still remains the most widely used theory to guide family business research.

- **Social Capital Theory**

This is another popular theory used in family business research. The social capital theory addresses the interaction and exchange between individuals in a social network. It describes the relationship between the individuals or between organisations. In terms of resources, it is clearer to define social capital theory as those resources embedded in social relations which facilitate collective action. It is also generally referred to as trust, concerns for one‟s associates and a willingness to live by the norms of one‟s community and to punish those who do not

- **Agency Theory**

The agency theory basically presents the argument that the natural alignment of owners and managers (the agents) decreases the need for formal supervision of agents. In a typical organisation, the principal may have divergent views, interests, behaviour, and information from the agent. This could lead to conflict of interest between the principal and agent. However, in a situation where the principal and agents share similar interest, there would be no conflict of interest and no need for agency costs.

- **Stewardship Theory**

This theory explains how the founding family view the firm as an extension of themselves and therefore see the good health and continuity of the firm as connected to their personal well-being. Stewardship theory is viewed in contrast to agency theory. This is because, under the stewardship theory, people are argued to be self-motivated to accomplish tasks and responsibilities which have been entrusted into their hands. While in agency theory, people have to be extrinsically motivated, in stewardship theory, people are intrinsically motivated.

Under the discussion on RBV, a firm‟s resources that have the potential to impact positively on organisational outcome and create competitive advantages for that organisation must have four characteristics which are;

 it must be valuable- this implies that the resource must be able to influence the firms effectiveness and efficiency in a positive way

 it must be unique and only available to the firm

 it must be inimitable – this means that for the resource to create a sustainable competitive advantage, competitors

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must not be able to copy it; and lastly,
 it must be non-substitutable- this implies that the resource cannot be substituted by a competitor. It is only then that it can secure the strategy of the firm

what are the assumptions guiding the systems theory

 one subsystem cannot be understood separately from the entire system within which it exists
 understanding comes when all the three subsystems with their interactions and interdependence are studied as one system

what are examples of family businesses from around the world

The following are examples of family businesses from around the world: Nike, USA (the Knights); Wal-Mart, USA (the Walton‟s Family); McKesson, USA (McKesson Family); News Corporation, USA (the Murdochs); Phillips 66, USA (the Phillips Family); Sainsbury UK (Sainsbury was a family- owned family-managed firm for 129 years up until 1998 when David Sainsbury, the last family Chairman of the organisation retired); Peugeot in France; SoftBank, Japan (the Son‟ Family); Hoshi Ryokan, Japan (the Houshi‟s Family); Tata Group, India (Tata Family); Dabur Group, India (the Burman Family); Reliance Industries, India (the Ambani Family); Sing Holdings in Singapore (the Huang Family); Archer Family Farm, Australia (the Archer Family); Agnelli (major investor in Fiat); Benetton Group; Luxottica Group; Zegna Group in Italy; The Salvat company in Spain (founded in 1869, developed from a small family-owned Catalonian publishing house into a world-rated large publisher in Spanish language in the 1970s); and Lum Chang Holdings in Singapore; Richemont, Switzerland (the Rupert Family); Sun Hung Kai Properties, Hong Kong (the Kwok Family); Foxconn, Taiwan (the Gou Family).

What are the examples of family business that exist in Nigeria

a compilation of a few known businesses with family involvement by Wale-Oshinowo, (2017- in press) are as follows:
 The Mike Adenuga Group of Companies- comprising of Conoil Producing Nigeria Limited and Globacom Limited (Adenuga Family)
 Ekene Dili Chukwu Group of Companies (Ilodibe‟s Family)
 Honeywell Group Nigeria (Otudeko Family)
 Sani Brothers Group of Companies/Azman Oil & Gas Ltd (Abdulmunafi‟s Family)
 Isyaku Rabiu and Sons (Isyaku Rabiu‟s Family)
 Kabo Holdings (Adamu Dankabo‟s Family)
 Mai Deribe‟s Venture (Mai Deribe‟s Family)
 Nigerian Tribune (late Obafemi Awolowo Family)
 Henry Stephen‟s Group (Fajemirokun Family)
 First City Group (the Baloguns)
 Adebola Adegunwa Group (the Adegunwas)
 The Punch Newspaper (the Aboderins)
 Folawiyo Group of Companies (the Folawiyos)
 Eleganza Group (Okoya Family)
 Elizade Group (The Ade Ojo Family)
 Orange Drugs Group (The Ezenna Family)
 BUA Group; AIT Group of Companies
• Ibeto Group (the Ibeto Family)
• Fagbohun Tailors (The Fagbohun Family)
• The Tejuosho Group (the Tejuosho Family)
• Ibru Business Dynasty (The Ibru Family)
• Dominos Stores/ Silverbird Cinemas (the Bruce Family)
• Diamond Bank (The Dozie Family)

What Are The Strengths And Weaknesses Of Family Businesses

Strengths of Family Firms

 Conflict of interest between owners and managers are fewer: The alignment of interest between owners and managers from the same family is a major strength of

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family firms. Fewer agency conflict is recorded due when family members are
present at both ownership and management levels of the business.The RBV, unlike most other theories commonly used in family business research, focuses on the internal stimulus of firms (Penrose, 1959) by describing the inherent resources and capabilities in such firms.
- Resources that create competitive advantages in firms must be valuable, rare, inimitable and not substitutable. Resources can also be tangible or intangible in nature. Tangible resources in this case refer to physical beneficial characteristics, such as capital, networks, geographical location, and assets; while intangible resources include family values and culture, tacit knowledge, family name, family reputation, relationships, family orientation, loyalty, trust, traditions.

Weakness

There are three key challenges facing family businesses: first is generational involvement and leadership; second is ensuring that family commitment to the business transcends into competitive advantage for them; and third is aligning family‟s investment in financial and human capital with the business strategy to create value in an intensely competitive global economy.
Other issues are: conflict management, succession planning, managing nepotism, professionalism, and a few others.

What is family, family business, succession, familiness, Entrepreneurial Orientation (EO)

Family; family has been defined as "people who have a shared history and shared future, bound by blood, legal and/or historical ties". In the context of family business research, however, one can more clearly define family as the group of people related either by blood or marriage to the founder or founders of the business.
Family business; family business is defined as a business regardless of company size, sector, or legal structure (though most typically privately held)- in which the majority of the ownership resides in the hands of one family and in which at least two members of the same family either own and/or managed the business together.
Familiness; familiness refers to the resources and capabilities that emerge when the family and the business co-exist within the family business
Entrepreneurial Orientation (EO); EO is a concept used to reflect a firm‟s commitment and capability to pursue entrepreneurial activity. As a business level concept it is ideal for analysis of the EO of the family business.

.Family members influence the family business through their participation, their ownership control, their strategic preferences, and the culture and values they impart to the business.what is participation,control, Strategic preferences and culture

- **Participation** refers to the nature of the involvement of family members in the business, whether as part of the management team, as board members, as shareholders, or as supportive members of the family foundation.
- **Control** refers to the rights and responsibilities family members derive from significant voting ownership and the governance of the agency relationship
- **Strategic preferences** refers to the direction family members set for the business through their participation in top management, consulting,the board of directors, shareholder meetings, or even family councils.
- **Culture** is the collection of values, defined by behaviours that become embedded in a business as a result of the leadership provided by family members, past and present.

What Are The Liquidity Needs Of The Family Business And How To Satisfy Them

The capital needs of a family business can be satisfied in a number of ways:
 Through internally generated cash flows
 Through additional capital injections by current shareholders.
 By broadening the circle of shareholders (without floating shares on the stock exchange), for instance, by inviting employees, directors or investment institutions to buy shares.
 Through loans from insiders and/or third parties.
 By selling parts of the business that that do not belong to the core activities of the Business

What Are The Financial Issues Of Family Business

a) Fiscal bias on equity finance rather than debt finance As set out in the study, the transfer of a family business triggers a series of financial constraints which may endanger the viability of the business. The payment of inheritance and/or gift tax represents the biggest challenge.

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b) Financial disadvantages of equity financing (compared to debt financing) One of the characteristics of family businesses is their long-term sustainability, often associated with cautious risk-taking behaviour. This has an impact on the financial decisions they take

what are the characteristics that bring forth the distinctiveness of family firms

1. The presence of the family
2. The overlap of family, management and ownership, with its zero-sum (winloss) propensities, which render family business particularly vulnerable during succession.
3. The owner‟s dream of keeping the business in the family
4. The unique source of competitive advantage derived from the interaction of family, management, and ownership, especially when family units is high.

What are the specific qualities that are critical in ensuring success, profitability, longevity and happiness in family business

- Shared values
- Shared power
- Shared traditions
- Willingness to learn and grow
- Fun activities together
- Genuine caring
- Mutual respect
- Mutual assistance and support
- Privacy
- Well-defined interpersonal boundaries.

What is values in family business

Values can act as a kind of glue for business and family success. Crucially, family values are a source of competitive advantage to many successful businesses, they serve many different purpose in family business. Family values are inmany ways the family‟s attempt to express who they are, to make meaning for themselves- and a guiding star for the business. Values are unique to each family, representing a narrative business. Values are unique to each family, representing a narrative about how their behaviours make them successful.

What are the Values common in family business

- Courage
- Dignity
- Reputation
- Fairness
- Open-mindedness
- Authenticity
- Hard work
- Stewardship
- Dependability
- Empathy
- Curiosity
- Humility
- Discipline
- Prudence
- Loyalty
- Sincerity
- Respect

Advantages Of Family Business

Strong values .family firms grow around the values of the founder and often focus on strong relationships with family,

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employees, business partners and the community. Family-owned businesses are more likely to sacrifice immediate profits for other goals, such as preserving jobs or protecting the community, than broadly held companies.
Long-term orientation.for leaders of family-owned companies, the future is personal. “They think in terms of generation because everyone wants to do their best to leave their grandchildren something special.” -Ed Nusbaum ,CEO Grant Thornton International Ltd.
Entrepreneurial passion. Almost every family business started as a small enterprise pushed forward by the passion of an individual. In the best cases, this passion to create, to innovate and to serve is woven into fabric of the business and becomes a core element for generations.

Disadvantages Of Family Business

Family dynamics. Family involvement in the business is a two-sided coin. Especially after the founder relinquishes control, quarrels among siblings or cousins can interfere with the effective stewardship of the company. Bad feelings unrelated to the business can spill into the boardroom and executive suite.
Haphazard succession. Leadership succession based solely on family lineage can damage the business. Although children and grandchildren may have grown up with the company, they may not have the right skills or capabilities to run it successfully.
Talent retention. Family-owned businesses may also have difficulty attracting and retaining the best outside talent for various management roles.

What Are The Family Business Life Cycle

- First stage: The wonder period
- Second stage: The blunder period
- Third stage: The thunder period
- Fourth stage: The sunder or plunder period

What are the four key sets of goals that matter to business families

- **Economic**: Wealth creation and preservation is about growing and sustaining the family‟s wealth.
- **Social**: Symbolic responsibilities and business reputation are important for many families. They might see themselves as representing the interests of their community, the larger business community, or even their community, the larger business community, or even their nation.
- **Psychological**: Individual talent development and emotional wellbeing represent the family‟s attempt to use its business activities as a platform for developing its members‟ skills and creating opportunities for them to experience professional success.
- **Spiritual**: The family seeks to create deeper personal or collective meaning in their lives

What Are The Importance Roles Of Studying Family Business

1. Employment
2. Income generation
3. Wealth accumulation
4. Commitment show to local communities
5. Early industrialization
6. Economic growth

Challenges Of Family Business

Challenges that arise from the environment in which companies operate:

. Unawareness of policy makers of the specificities of family businesses, and their economic and social contribution;
. Financial issues (e.g. gift and inheritance tax, access to finance without losing control of the firm, favourable tax treatment of reinvested profits).

Challenges that develop as a consequence of the family firm’s internal matters:

. Unawareness by family firms of the importance of planning business transfers early;
. Balance between the family, ownership and business aspects within the enterprise;
. Difficulties in attracting and retaining a skilled workforce.

Challenges related to educational aspects, which have an impact on both the business environment and on family

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business internal matters:

. Lack of entrepreneurship education and family-business-specific management training and research into family-business-specific topics, plus effective coordination with education systems to ensure proper follow-up

what are Guildlines for how conflicts can be managed in family business

1. Create a culture or norm that genuinely invites appropriate one-on-one discussions when conflict begins to build in family business.
2. Bring in an outside, third-party facilitator when necessary and appropriate.
3. Set a specific time and place for the discussions.
4. Strive to create a communication atmosphere that is safe for all parties- where open and genuine sharing result in compassionate listening, not defensive criticism.
5. Avoid attributing blame or responsibility for the conflict

What are Some of the significant problems that can be addressed in family meetings

 Frustration over alienation or lack of inclusion. This source of conflict is widespread as a result of the emotional distance between family members of the powerful current generation and those of the significantly less powerful next generation.

 Anger over the unfairness of hiring practices, promotions, family benefits, and other opportunities enjoyed by some but not by others. In many families “fair”means “equal”.

 Frustration over divided policies and lack of liquidity. By the time a family-owned company has begun to hire its third generation of family members, the financial needs of the various branches and individuals have become incredibly diverse.

What is triangulation

Triangulation is a common practice in families that creates dilemmas both in the present and for the future. Triangulation refers to a situation in which conflict between family members is managed independently by any or all of them by talking to a third party. This third party then becomes a sounding board, relieving some of the tension and dissipating negative emotion in the short term

What are the Five Unwanted Effects of Triangulating

1. They could make decisions that are one-sided due to a biased selection of facts.
2. They may be perceived as “sticking their nose where it doesn‟t belong.
3. They will be viewed as biased and ``playing favourites``.
4. They could take too much of the stress of the conflict upon themselves.
5. They may unintentionally be ``siphoning`` off the impetus for the parties to talk directly to each other to manage or resolve the conflict

What Are The Guildlines For Managing Triangulation

o Getting advice from a trusted manager or family member may be a good practice, but resolving to talk directly to the other person will limit the dilemmas produced by triangulation alone.

o Separate the need to have a trusted person serve as a sounding board to help craft difficult conversations with others or to think through an appropriate response from a knee-jerk complaint to a family member that may relieve initial tension but also removes the incentive or energy to resolve the problem.

o The person acting as a sounding board likely hears only one point of view and may unknowingly support and solidify that one person‟s view even though there are always at least two sides to every story.

o The person acting as a sounding board may well experience stress and discomfort because of the position that he or she is being put in. this is particularly true if the person being triangulated is a parent or sibling.

Governance Of Family Business

Typical governance structure of family business consists of three elements

:1) the family and its institutions,

2) the board of directors and

3) top management. Commonly used family institutions are family meeting, family assembly, family council and family

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shareholders committee

The Concept Of Corporate Governance In A Business Family

The word governance comes from the Latin verb gubernare, to steer, to direct. Tracing the word „governance" etymologically makes it easier to understand the definition of corporate governance as it is now used in everyday management practice, corporate governance is an umbrella term that includes specific issues arising from interactions among senior management, shareholders, boards of directors and other corporate stakeholders

Definition of corporate governance

Corporate governance can also be defined as a system of structures and processes to direct and control corporations and to account for them.

What are the Two major aspects of corporate governance

 The key corporate governance tasks, namely

-directing
-controlling
-accounting for/ reporting

 The key elements of a typical corporate governance structure, namely

-the family (and its institutions),
-the board of directors,
-top management

who are the descriptors of a strong family

 Commitment to each other
 Mutual appreciation
 Open communication
 Spending time together
 Spiritual wellness
 Ability to cope (with life"s challenges)

What Are Some Common Responses That Some Business Families Attribute Their Success

 Introducing excellent management development systems, at least for family and often for non-family employees also
 Training family members in ownership rights and responsibilities-for example the norm of stewardship and creating wealth for future generations.
 Treating employees fairly and with loyalty that is usually reciprocated; many nonfamily employees may be third and subsequent generation employees of the business.
 Having a strong sense of responsibility to society-local, regional, national or transnational-which is often reflected in the contribution of time and money to worthwhile community projects.
 Emphasising value for money and quality, as the family"s good name depends on the product or service.
 Taking decisions quickly as everybody knows where the locus of power is.
 Taking a long-term strategic perspective not bound by next quarter"s earnings and working to maximise shareholder wealth even a generation hence.
 Remaining innovative and entrepreneurial, the keys to future success.

What are the four common features to successful succession

1) A founder of the company needs to be ready and enthusiastic about passing on the business.
2) A successor is instilled with positive attitudes toward business challenges by a mentor, is educated for the task and is able to handle responsibility.
3) Trust between founder and successor
4) Commitment to cooperation with the family, for instance, sharing decisions with them

What are the Three patterns of ineffective succession

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1. Conservative: Although the parent has excited the business, the parental shadow remains and the firm and its strategies are locked in the past.
2. Rebellious: In what is often an overreaction to the incumbent generation‟s control of the firm, the next generation launches a clean-slate approach to the organization.
3. Wavering: The next generation is paralyzed by indecisiveness, unable to adapt the business to current competitive conditions, it also fails to make its mark and assume leadership effectively

What Are The Common Mistakes Of Succession In Family Business

Mistake 1: failure to understand the differences between ownership, governance and management; family involved in the company can play three different roles: they can be owners, directors or managers. In many family businesses, especially in first and second generation and in small companies, these roles often overlap because the same people may carry out more than one.
Mistake 2: Considering succession as an obligation to the past and not as an opportunity for the future; it is just natural that a parent who has built up a successful company wishes to pass it on to the next generation. It is only natural, and even desirable, that for this wish to come true a parent is ready to show all positive aspects of the entrepreneur‟s job to his/her children.
Mistake 3: Considering succession as an event and not as a process; Generational transition of family leadership is something that occurs in a moment-making a simplification, when the new generation formally takes over-but is actually the end of a long process made up of a traumatic event, the transition starts with children‟s training , it goes on with them(possibly) being introduced into the family business, it continues with parents and children working together over a set period of time, and it ends with children taking over.
Mistake 4: Failure to transmit entrepreneurial orientation; Research on family businesses in the third and fourth generation converges on one point: each generation has added something to the entrepreneurial tradition of the family. In other words, each successive generation has produced at least one person with the attitudes of an entrepreneur, who is future-oriented, able to assume the risk of difficult decisions, able to involve other people in a long-term strategic plan, with the necessary strength to start again after a partial failure.
Mistake 5: Lack of a sound dialectic between parents and children; A series of mistakes relate to the inability of actors involved in the succession process to check their opinions with evidence coming from reality and with the opinions of others.
Mistake 6: Considering patrimony of values as the solution; A family able to transmit positive values such as sobriety, humility, tendency to family unity, spirit of sacrifice, meritocracy and entrepreneurship has undoubtedly more chances of successfully coping with succession. Some families, especially those characterised by a deep religiousness, think that it is enough to maintain the patrimony of values to secure the continuity and survival of the firm
Mistake 7: Choosing the wrong „third actor‟; In the history of family businesses which have been successful in overcoming one or more generational transitions we always find “third parties”-that is, people or institutions other than the owning family or family members in trouble-who have helped overcome some delicate phase. The third party can be a relative, a manager of the company, an outside director, a professional or a consultant, or a friend of the entrepreneur.

How To Avoid Mistakes Of Succession In Family Business

o A proper concept of the ownership; first of all, it is necessary to consider that the link between the ownership and the business in family business has a special strength, which tends to confer stability to the governance and the direction of the firm, or to the group of controlled business. In family business, indeed, the ownership takes part intensively in the life of the firm since the economic and emotional ties are considerable and the exit process is often more difficult to achieve; the ownership is strongly identified with the owners, whose values and objectives influence the strategic choices; it presents dynamics within the owning family(intra-and intergenerational) which have a strong impact on the business‟s life(also because one or more family members are usually involved in governance or management roles)
o A culture of merit; the second recommendation to adopt without delay is the culture of merit. Companies must be managed by competent people and if the children are not, it is fair to look for alternatives, both for them and for the company itself. It is possible to learn a culture of merit when people are fairly young; this culture relies on the definition of targets, the timely assessment of achievements, a variety of evaluations, the sharing of both evaluation and self-evaluation, comparison with people of the same age.

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o The education of the young; the third recommendation relates to the need to worry about the education of the upcoming generation. Education is essentially the transfer of values, as human and intellectual capital is the most important capital that needs to be transferred.
o Choice of the entrepreneurial development model; family business represent a highly important reality in developing and spreading an extremely scarce and crucial productive factor for the development of a country and this is the "entrepreneurial factor". This role of being a reservoir of entrepreneurship is covered by family business in different ways

What Are The Characteristics Of Successful Successors

- They know the business very well; ideally, they like or even love the nature of the business.
- They know themselves and their strengths and weaknesses, having had the necessary outside experience and education.
- They want to lead and serve
- They are guided responsibly by the previous generation. By advisors, and by a board of outside directors.
- They have good relationships and the ability to accommodate others, especially if part of a successor team (siblings, in-laws, or cousins).
- They can count on competent nonfamily managers in the top management team to complement their own skills.
- They have controlling ownership or can lead, through allies, as if they did.
- They have earned the respect of nonfamily employees, suppliers, customers, and other family members.
- Their skills and abilities fit the strategic needs of the business.
- They respect the past, and focus their energies on the future of the business and the family.

Over the years, family businesses have become the social and economic lifeline of most developed and developing nations because their successes contribute to the healthy development of any nation. They remain the bedrock of most advanced economies till date.
Give a comprehensive definition of a family business
A family business is defined as a firm that is dominantly owned, managed, governed/controlled by a family, with the intention to retain the ownership and control of the business within the family across generations

History records provide many examples wherein dynastic families play prominent roles in new venture creation within their communities (Steier et al., 2004). Mention ten examples of these families and their respective countries.
The following are examples of family businesses from around the world: Nike, USA (the Knights); Wal-Mart, USA (the Walton‟s Family); McKesson, USA (McKesson Family); News Corporation, USA (the Murdochs); Phillips 66, USA (the Phillips Family); Sainsbury UK (Sainsbury was a family- owned family-managed firm for 129 years up until 1998 when David Sainsbury, the last family Chairman of the organisation retired); Peugeot in France; SoftBank, Japan (the Son‟ Family); Hoshi Ryokan, Japan (the Houshi‟s Family); Tata Group, India (Tata Family); Dabur Group, India (the Burman Family); Reliance Industries, India (the Ambani Family); Sing Holdings in Singapore (the Huang Family); Archer Family Farm, Australia (the Archer Family);

List and explain five duties of individual family members within the family.

Obligation
Family members are expected to maintain a sense of duty through being obligated to the family, mostly placing the interest of the family above their individual interests. Obligations tie each individual to the family, its beliefs, values, ethics, and other demands.
Culture
This is the way of life built into individual family members. Family culture represents beliefs within the family system which dictates their attitude, influences their perception about issues and programs individual behaviour.
Values
Family values are usually viewed as positive attributes within the family system. Family values teach unity, love, tolerance, honesty, giving to less privileged people and entrepreneurial behaviour. These are planted into individuals within the family system and are expected to be upheld by each member of the family.
Ethics

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Ethics creates a moral sense of right doing. Individual family members are expected to maintain a sense of loyalty to the family name hence behave appropriately both within and outside the family circle.

Trust

Individual family members are expected to make sincere efforts in maintaining their commitments to the family especially along the following areas discussed above: duty; family beliefs; family values and ethics. Trust is crucial to the survival of every family unit. Trust is viewed as one of the competitive advantages present within the family

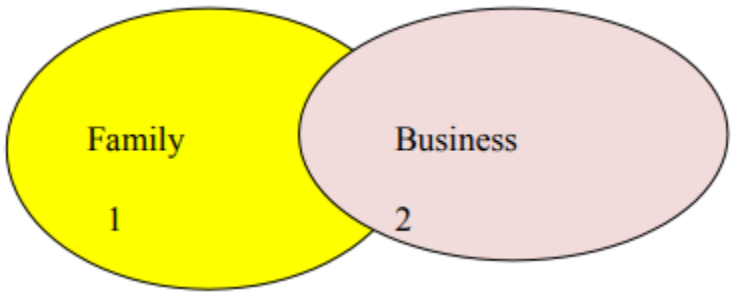
List and explain the functions of the family to its members and the society.

Family Function	**'Individual Family Members' as Recipient**	**'Community' as Recipient**
Membership	Provides a sense of belonging, personal and social identity	Controls the reproductive function within the community
Economic Support	Provides basic needs of food, shelter and clothing; Provide financial assistance to its members when needed	Provides breeding ground for healthy family members who have little or no need for public support
Training	Provides adequate nurturing in family values; culture; and traditions which usually promote wholeness in its members. Provides training in basic skills and also appropriate education for its members; Provides physical, psychological, social and spiritual development of its members	Prevents antisocial behaviour in its members through proper training in family values and culture; Provides productive family members into the community; Prepares family members for proper integration into the community
Security	Provide protection and support for its members	Prepares well-behaved individuals who are willing to believe in the community and also serve the community accordingly

In identifying the distinctiveness of a family business, many approaches were utilised and models developed. The process of differentiating family business from other forms of business organisation was one of the approaches used by early family business researchers to define family business.

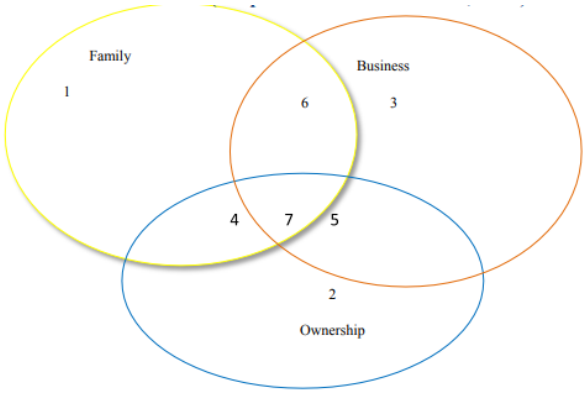
With the aid of diagrams, explain clearly the Two and Three Circles Model.

Two circle model



Three-Circle Model

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Write a short note on F-PEC Scale by writing its full meaning and giving a breakdown of each dimension in relation to the level of involvement of family in a business.

Another approach widely used in the literature to measure family involvement in a firm in the continuum is the F-PEC scale. F-PEC stands for Family Influence-Power, Experience and Culture Scale .This scale developed by Astrachan, Klein, and Smyrnios (2002) further expands our understanding of how to measure the quantum of family influence in a firm. The F-PEC scale builds on previous studies that introduced the use of continuous scale measure such as: Shanker and Astrachan, (1996); Westhead and Cowling, (1998); and Chua, Chrisman, and Sharma The F-PEC scale is considered unique because of its combination of two approaches to define family business. They are familiness (discussed previously) and the components of family involvement which are mainly reflected in ownership, management, governance and succession.

- **Dimension**

Power

Power refers to dominance. It measures the family‟s influence in the firm through ownership, management and governance of the firm

Experience

The total experience in knowledge, skills and number of years is what this subscale measures.

Culture

In the context of an organisation, culture is subsumed in the shared values, experiences and basic assumptions of its founders. In the broadest sense organisational culture refers to shared values that guide the members of an organisation on how to behave

There are six basic components that make up the Involvement of family in a family business.

- Highlight these six components.
- Ownership
- Management
- Governance and Control
- Succession
- Family Employees
- Family Culture

Explain any four of the components of family involvement

Family Culture

Culture refers to a cumulative set of assumptions that guides the belief systems of a group of people. Culture is referred to as the phenomena beneath the surface that constrain and guide behavior. . It is cultivated, learnt and mostly enhanced by its clarity and acceptance so it can be managed. Culture is not genetically created but on the contrary, it is learnt either from the society in which an individual was nurtured or an organisation in which he/she works

Family Employees

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Family members represent important sources of human and social capitals for both old and new enterprises. Empirical studies have established that families depend on the easy access to a pool of human capital from among family members to work within their firms, especially during the early days of such businesses. Family employees, based on their emotional tie to the firm, would be more committed to long hours of work, less pay and provision of external networks, which may eventually translate to competitive advantages for family firms.

Succession

The succession plan of a family firm shows its long-term goals. The position of key researchers is that the exclusion of trans-generational involvement from defining family business makes it incomplete. This is because multiple generation involvement in family firms has been linked with continuity, sustainability and a firm‟s focus on innovation

Governance and Control

Governance is another important and key element of family involvement in a business. It is a role that is reflected in family member‟s involvement in directing the relationships and occurrences within the firm. Governance role involves control and decision making.

Mention five functioning family businesses operating outside with their respective family owners and five family businesses in Nigeria also with the names of the owning families.

- The Mike Adenuga Group of Companies- comprising of Conoil Producing Nigeria Limited and Globacom Limited (Adenuga Family)
- Ekene Dili Chukwu Group of Companies (Ilodibe‟s Family)
- Honeywell Group Nigeria (Otudeko Family)
- Sani Brothers Group of Companies/Azman Oil & Gas Ltd (Abdulmunafi‟s Family)
- Isyaku Rabiu and Sons (Isyaku Rabiu‟s Family)

There are five (5) theories that are frequently used in family business research to connote the distinctiveness of family businesses among different forms of organisations. Briefly discuss the five theories.

- **The Systems Theory**

The systems theory is a theoretical approach that was used in the scholarly study of family business. It presents the family firm as a model with three overlapping, interacting and independent subsystems of family, management and ownership. It suggests that each system maintains its boundaries which separate it from the other subsystems and the general external environment in which the family business operates in.

- **The Resource-based View (RBV)**

The Resource-based view theory of the firm seeks to answer the question of why some firms perform better than the others. It is an economic tool used to determine the strategic resources available to a firm" (Barney, 1991). The RBV has been and still remains the most widely used theory to guide family business research.

- **Social Capital Theory**

This is another popular theory used in family business research. The social capital theory addresses the interaction and exchange between individuals in a social network. It describes the relationship between the individuals or between organisations. In terms of resources, it is clearer to define social capital theory as those resources embedded in social relations which facilitate collective action. It is also generally referred to as trust, concerns for one‟s associates and a willingness to live by the norms of one‟s community and to punish those who do not

- **Agency Theory**

The agency theory basically presents the argument that the natural alignment of owners and managers (the agents) decreases the need for formal supervision of agents. In a typical organisation, the principal may have divergent views, interests, behaviour, and information from the agent. This could lead to conflict of interest between the principal and agent. However, in a situation where the principal and agents share similar interest, there would be no conflict of interest and no need for agency costs. Agency cost could increase or decrease in a family firm depending on the structure of the firm.

- **Stewardship Theory**

This theory explains how the founding family view the firm as an extension of themselves and therefore see the good health and continuity of the firm as connected to their personal well-being. Stewardship theory is viewed in contrast to agency theory. This is because, under the stewardship theory, people are argued to be self-motivated to accomplish tasks and responsibilities which have been entrusted into their hands. While in agency theory, people have to be

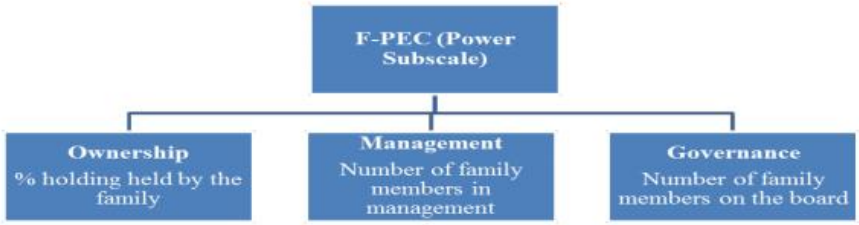
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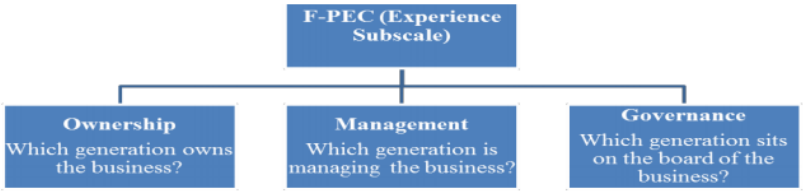
extrinsically motivated, in stewardship theory, people are intrinsically motivated

With the aid of diagram distinguish between the Power subscale measures family influence and Experience Subscale.

Figure 5: Power Subscale of F-PEC Scale



Experience



Enumerate and discuss Values common in family business

Values can act as a kind of glue for business and family success. Crucially, family values are a source of competitive advantage to many successful businesses, they serve many different purpose in family business. In some families they express a code of family conduct; in others they reinforce the organization‟s culture or underpin the firm‟s business strategy. In some families they frame social responsibility, while in others they support philanthropy or spell out next-generation leadership behaviours. Family values are inmany ways the family‟s attempt to express who they are, to make meaning for themselves- and a guiding star for the business. Values are unique to each family, representing a narrative business. Values are unique to each family, representing a narrative about how their behaviours make them successful. Success is always socially constructed, which means that it is expressed or interpreted in the context of each family‟s experience and relationships

Values common in family business are;

- Courage
- Dignity
- Reputation
- Fairness
- Open-mindedness
- Authenticity
- Hard work
- Stewardship
- Dependability
- Empathy
- Curiosity

Identify Family business drive for key decisions making

- Strategy
- Structure
- Competitive advantage
- Culture

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 Employee recruitment
 Governance
 Succession
 Owners‟ cohesion
 Owners‟ commitment
 Owners‟ constitution or protocol

David Bork (in Syms 1992, 8-9) explores some specific qualities that are critical in ensuring success, profitability, longevity and happiness in family business. Discuss.

 Shared values
 Shared power
 Shared traditions
 Willingness to learn and grow
 Fun activities together
 Genuine caring
 Mutual respect
 Mutual assistance and support
 Privacy
 Well-defined interpersonal boundaries.

Itemise the Family business name with family involvement by Wale-Oshinowo, (2017) in Nigeria.

 The Mike Adenuga Group of Companies- comprising of Conoil Producing NigeriaLimited and Globacom Limited (Adenuga Family)
 Ekene Dili Chukwu Group of Companies (Ilodibe‟s Family)
 Honeywell Group Nigeria (Otudeko Family)
 Sani Brothers Group of Companies/Azman Oil & Gas Ltd (Abdulmunafi‟s Family)
 Isyaku Rabiu and Sons (Isyaku Rabiu‟s Family)
 Kabo Holdings (Adamu Dankabo‟s Family)
 Mai Deribe‟s Venture (Mai Deribe‟s Family)
 Nigerian Tribune (late Obafemi Awolowo Family)
 Henry Stephen‟s Group (Fajemirokun Family)
 First City Group (the Baloguns)
 Adebola Adegunwa Group (the Adegunwas)
 The Punch Newspaper (the Aboderins)
 Folawiyo Group of Companies (the Folawiyos)
 Eleganza Group (Okoya Family)
 Elizade Group (The Ade Ojo Family)
 Orange Drugs Group (The Ezenna Family)
 BUA Group; AIT Group of Companies
• Ibeto Group (the Ibeto Family)
• Fagbohun Tailors (The Fagbohun Family)
• The Tejuosho Group (the Tejuosho Family)
• Ibru Business Dynasty (The Ibru Family)
• Dominos Stores/ Silverbird Cinemas (the Bruce Family)
• Diamond Bank (The Dozie Family)

Succession Planning is very vital to the growth and sustainability of family business. Discuss four (4) ways to avoid Mistakes of Succession in Family Business.

o A proper concept of the ownership; first of all, it is necessary to consider that the link between the ownership and the business in family business has a special strength, which tends to confer stability to the governance and the direction of the firm, or to the group of controlled business

o A culture of merit; the second recommendation to adopt without delay is the culture of merit. Companies must be managed by competent people and if the children are not, it is fair to look for alternatives, both for them and for the company itself.

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o The education of the young; the third recommendation relates to the need to worry about the education of the upcoming generation. Education is essentially the transfer of values, as human and intellectual capital is the most important capital that needs to be transferred

o Choice of the entrepreneurial development model; family business represent a highly important reality in developing and spreading an extremely scarce and crucial productive factor for the development of a country and this is the "entrepreneurial factor".

Like good leaders, successful successors have unique characteristics. Briefly describe Seven (7) characteristics of successful successors.

- They know the business very well; ideally, they like or even love the nature of the business.
- They know themselves and their strengths and weaknesses, having had the necessary outside experience and education.
- They want to lead and serve
- They are guided responsibly by the previous generation. By advisors, and by a board of outside directors.
- They have good relationships and the ability to accommodate others, especially if part of a successor team (siblings, in-laws, or cousins).
- They can count on competent nonfamily managers in the top management team to complement their own skills.
- They have controlling ownership or can lead, through allies, as if they did.

Succession is a challenging issue faced by all family leaders at some point of time. Discuss any four (4) common mistakes of succession in family business.

Mistake 1: failure to understand the differences between ownership, governance and management; family involved in the company can play three different roles: they can be owners, directors or managers. In many family businesses, especially in first and second generation and in small companies, these roles often overlap because the same people may carry out more than one.

Mistake 2: Considering succession as an obligation to the past and not as an opportunity for the future; it is just natural that a parent who has built up a successful company wishes to pass it on to the next generation. It is only natural, and even desirable, that for this wish to come true a parent is ready to show all positive aspects of the entrepreneur‟s job to his/her children.

Mistake 3: Considering succession as an event and not as a process; Generational transition of family leadership is something that occurs in a moment-making a simplification, when the new generation formally takes over-but is actually the end of a long process made up of a traumatic event, the transition starts with children‟s training , it goes on with them(possibly) being introduced into the family business, it continues with parents and children working together over a set period of time, and it ends with children taking over.

Mistake 4: Failure to transmit entrepreneurial orientation; Research on family businesses in the third and fourth generation converges on one point: each generation has added something to the entrepreneurial tradition of the family. In other words, each successive generation has produced at least one person with the attitudes of an entrepreneur, who is future-oriented, able to assume the risk of difficult decisions, able to involve other people in a long-term strategic plan, with the necessary strength to start again after a partial failure.

Mistake 5: Lack of a sound dialectic between parents and children; A series of mistakes relate to the inability of actors involved in the succession process to check their opinions with evidence coming from reality and with the opinions of others.

Succession is the generational transition from a founder to a successor. Describe four (4) common features to successful succession.

1) A founder of the company needs to be ready and enthusiastic about passing on the business.
2) A successor is instilled with positive attitudes toward business challenges by a mentor, is educated for the task and is able to handle responsibility.
3) Trust between founder and successor
4) Commitment to cooperation with the family, for instance, sharing decisions with them.

Elaborate on the three (3) patterns of ineffective succession.

1. Conservative: Although the parent has excited the business, the parental shadow remains and the firm and its

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strategies are locked in the past.
2. Rebellious: In what is often an overreaction to the incumbent generation‟s control of the firm, the next generation launches a clean-slate approach to the organization.
3. Wavering: The next generation is paralyzed by indecisiveness, unable to adapt the business to current competitive conditions, it also fails to make its mark and assume leadership effectively.

Conflict, a difference of opinion, is a necessary and natural part of human relationships. Describe five (5) Guidelines for managing conflicts in family business.
1. Create a culture or norm that genuinely invites appropriate one-on-one discussions when conflict begins to build in family business.
2. Bring in an outside, third-party facilitator when necessary and appropriate.
3. Set a specific time and place for the discussions.
4. Strive to create a communication atmosphere that is safe for all parties- where open and genuine sharing result in compassionate listening, not defensive criticism.
5. Avoid attributing blame or responsibility for the conflict

Define the following concepts in Family Business:

- **Corporate governance**
- **Directing**
- **Controlling**
- **Triangulation**

Corporate governance
Corporate governance can also be defined as a system of structures and processes to direct and control corporations and to account for them
Directing
Directing means being involved in decisions that are strategic in nature.
Controlling
Controlling means oversight of management performance and monitoring the progress towards objectives.
Triangulation
Triangulation refers to a situation in which conflict between family members is managed independently by any or all of them by talking to a third party

Directing an enterprise should not be confused with everyday involvement in management. Describe the four (4) activities of directing in family business.
o Shaping the strategic direction of the firm in the long term.
o Involvement in decisions that are far-reaching in nature.
o Involvement in the allocation or reallocation of significant financial resources (for example large investment decisions) as well as other resources (for example human resources) such as the appointment of the CEO.
o Involvement in decisions that are precedent setting and/or are difficult to revers

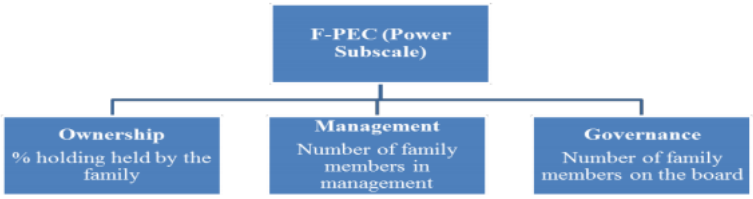
Describe the Four (4) Elements of Family Business as Defined by Westhead and Cowling
 Perception: How does the chief executive office perceive the company, family business or otherwise?
 Ownership: Is the majority ordinary voting shares owned by members of the largest family group?
 Management: Is the management team primarily drawn from the single dominant family group that owns the business?
 Intergenerational Transfer: Has the company experienced a generational transfer to a second or later generation of family members drawn from a single dominant family?

Elaborate on the three (3) important dimensions associated with the F-PEC scale in family business.
Power
Power refers to dominance. It measures the family‟s influence in the firm through ownership, management and governance of the firm. Figure 5 below shows how the Power subscale measures family influence.

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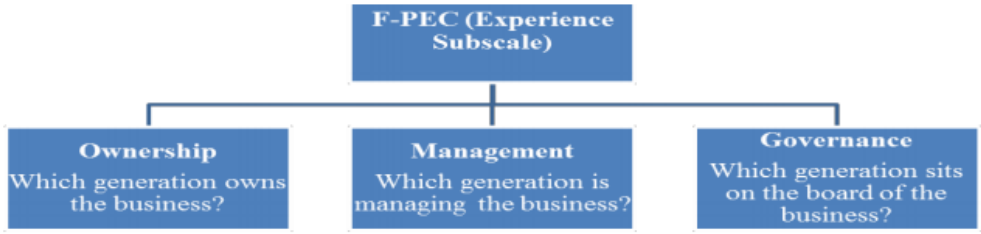
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Figure 5: Power Subscale of F-PEC Scale



Experience

The total experience in knowledge, skills and number of years is what this subscale measures. The items being measured by the experience subscale are shown in figure 6 below.



Culture

In the context of an organisation, culture is subsumed in the shared values, experiences and basic assumptions of its founders. In the broadest sense organisational culture refers to shared values that guide the members of an organisation on how to behave

Managing family business is about compromises, flexibility in relationships and expertise about the company. List the family business lifecycle.

- First stage: The wonder period
- Second stage: The blunder period
- Third stage: The thunder period
- Fourth stage: The sunder or plunder period

Most business owners find succession difficult because of its complexity. Discuss any five (5) common Mistakes of Succession in Family Business.

Mistake 1: failure to understand the differences between ownership, governance and management; family involved in the company can play three different roles: they can be owners, directors or managers. In many family businesses, especially in first and second generation and in small companies, these roles often overlap because the same people may carry out more than one.

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Mistake 5: Lack of a sound dialectic between parents and children; A series of mistakes relate to the inability of actors involved in the succession process to check their opinions with evidence coming from reality and with the opinions of others.

Discuss any five (5) Characteristics of Successful Successors.

- They know the business very well; ideally, they like or even love the nature of the business.
- They know themselves and their strengths and weaknesses, having had the necessary outside experience and education.
- They want to lead and serve
- They are guided responsibly by the previous generation. By advisors, and by a board of outside directors.
- They have good relationships and the ability to accommodate others, especially if part of a successor team (siblings, in-laws, or cousins).

Succession is a challenging issue faced by all family leaders at some point of time. Discuss any five (5) challenges of Family Business.

- Challenges that arise from the environment in which companies operate:

. Unawareness of policy makers of the specificities of family businesses, and their economic and social contribution;
. Financial issues (e.g. gift and inheritance tax, access to finance without losing control of the firm, favourable tax treatment of reinvested profits).

Challenges that develop as a consequence of the family firm's internal matters:

. Unawareness by family firms of the importance of planning business transfers early;
. Balance between the family, ownership and business aspects within the enterprise;
. Difficulties in attracting and retaining a skilled workforce

-**Challenges related to educational aspects, which have an impact on both the business environment and on family business internal matters:**

. Lack of entrepreneurship education and family-business-specific management training and research into family-business-specific topics, plus effective coordination with education systems to ensure proper follow-up

Briefly explain the five (5) key goals that Matters in Family Business.

- **Economic**: Wealth creation and preservation is about growing and sustaining the family‟s wealth.
- **Social:** Symbolic responsibilities and business reputation are important for many families. They might see themselves as representing the interests of their community, the larger business community, or even their community, the larger business community, or even their nation
- **Psychological**: Individual talent development and emotional wellbeing represent the family‟s attempt to use its business activities as a platform for developing its members‟ skills and creating opportunities for them to experience professional success.
- **Spiritual**: The family seeks to create deeper personal or collective meaning in their lives. Typically these goals are expressed through religious commitment or service to others with no business connections.

Family business is guided by different theories. Discuss any four (4) theories guiding family business research.

The Systems Theory

The systems theory is a theoretical approach that was used in the scholarly study of family business. It presents the family firm as a model with three overlapping, interacting and independent subsystems of family, management and ownership. It suggests that each system maintains its boundaries which separate it from the other subsystems and the general external environment in which the family business operates in.

The Resource-based View (RBV)

The Resource-based view theory of the firm seeks to answer the question of why some firms perform better than the others. It is an economic tool used to determine the strategic resources available to a firm" (Barney, 1991). The RBV has been and still remains the most widely used theory to guide family business research.

Social Capital Theory

This is another popular theory used in family business research. The social capital theory addresses the interaction and exchange between individuals in a social network. It describes the relationship between the individuals or

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between organisations. In terms of resources, it is clearer to define social capital theory as those resources embedded in social relations which facilitate collective action. It is also generally referred to as trust, concerns for one‟s associates and a willingness to live by the norms of one‟s community and to punish those who do not

Agency Theory

The agency theory basically presents the argument that the natural alignment of owners and managers (the agents) decreases the need for formal supervision of agents. In a typical organisation, the principal may have divergent views, interests, behaviour, and information from the agent. This could lead to conflict of interest between the principal and agent. However, in a situation where the principal and agents share similar interest, there would be no conflict of interest and no need for agency costs. Agency cost could increase or decrease in a family firm depending on the structure of the firm.

Triangulation is a common practice in families that creates dilemmas both in the present and for the future. Discuss any five (5) unwanted effects of Triangulation in Family Business.

1. They could make decisions that are one-sided due to a biased selection of facts.
2. They may be perceived as "sticking their nose where it doesn‟t belong.
3. They will be viewed as biased and ``playing favourites``.
4. They could take too much of the stress of the conflict upon themselves.
5. They may unintentionally be ``siphoning`` off the impetus for the parties to talk directly to each other to manage or resolve the conflict

In economies large and small, family-owned businesses create a significant amount of wealth and value. Discuss any two (2) advantages and any three (3) disadvantages of Family Business.

- **Advantages**

Strong values .family firms grow around the values of the founder and often focus on strong relationships with family, employees, business partners and the community. Family-owned businesses are more likely to sacrifice immediate profits for other goals, such as preserving jobs or protecting the community, than broadly held companies

Long-term orientation.for leaders of family-owned companies, the future is personal. "They think in terms of generation because everyone wants to do their best to leave their grandchildren something special."

Entrepreneurial passion. Almost every family business started as a small enterprise pushed forward by the passion of an individual. In the best cases, this passion to create, to innovate and to serve is woven into fabric of the business and becomes a core element for generations.

- **Disadvantages**

Family dynamics. Family involvement in the business is a two-sided coin. Especially after the founder relinquishes control, quarrels among siblings or cousins can interfere with the effective stewardship of the company

Haphazard succession. Leadership succession based solely on family lineage can damage the business. Although children and grandchildren may have grown up with the company, they may not have the right skills or capabilities to run it successfully.

Talent retention. Family-owned businesses may also have difficulty attracting and retaining the best outside talent for various management roles

Discuss any four (4) major Components of Family Involvement.

- **Ownership**

The ownership of a firm belongs to the person/person or group that holds the controlling shares. Ownership is represented through either of these two definitions: the number of shares an individual or a family owns in a firm; or the percentage of shareholding or voting rights held by a group in a firm

- **Management**

The management team is hired either internally or externally to organise and coordinate all the affairs of a firm, in accordance with the objectives and policies given by its owners. Therefore if the family has significant presence in the management team, that firm may be considered as dominantly family.

- **Governance and Control**

Governance is another important and key element of family involvement in a business. It is a role that is reflected in family member‟s involvement in directing the relationships and occurrences within the firm. Governance role involves

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control and decision making. Other governance roles as identified in the literature in family SMEs include: monitoring, providing advice, creating external legitimacy for the company, disciplining, networking, providing access to capital.

- **Succession**

The succession plan of a family firm shows its long-term goals. The position of key researchers is that the exclusion of trans-generational involvement from defining family business makes it incomplete. This is because multiple generation involvement in family firms has been linked with continuity, sustainability and a firm‟s focus on innovation

Family business is the most prevalent form of business in the world. Highlight any five (5) Family Businesses (with the family involved) in Nigeria

- The Mike Adenuga Group of Companies- comprising of Conoil Producing Nigeria Limited and Globacom Limited (Adenuga Family)
- Ekene Dili Chukwu Group of Companies (Ilodibe‟s Family)
- Honeywell Group Nigeria (Otudeko Family)
- Sani Brothers Group of Companies/Azman Oil & Gas Ltd (Abdulmunafi‟s Family)
- Isyaku Rabiu and Sons (Isyaku Rabiu‟s Family)
- Kabo Holdings (Adamu Dankabo‟s Family)

Briefly explain the following theories as used in family business research (i) Systems theory (ii) The resource-based view (iii) Social capital theory.

- **The Systems Theory**

The systems theory is a theoretical approach that was used in the scholarly study of family business. It presents the family firm as a model with three overlapping, interacting and independent subsystems of family, management and ownership. It suggests that each system maintains its boundaries which separate it from the other subsystems and the general external environment in which the family business operates in.

- **The Resource-based View (RBV)**

The Resource-based view theory of the firm seeks to answer the question of why some firms perform better than the others. It is an economic tool used to determine the strategic resources available to a firm" (Barney, 1991). The RBV has been and still remains the most widely used theory to guide family business research.

- **Social Capital Theory**

This is another popular theory used in family business research. The social capital theory addresses the interaction and exchange between individuals in a social network. It describes the relationship between the individuals or between organisations. In terms of resources, it is clearer to define social capital theory as those resources embedded in social relations which facilitate collective action. It is also generally referred to as trust, concerns for one‟s associates and a willingness to live by the norms of one‟s community and to punish those who do not

Discuss three advantages and three disadvantages of family business

- **Advantages**

Strong values .family firms grow around the values of the founder and often focus on strong relationships with family, employees, business partners and the community. Family-owned businesses are more likely to sacrifice immediate profits for other goals, such as preserving jobs or protecting the community, than broadly held companies
Long-term orientation.for leaders of family-owned companies, the future is personal. "They think in terms of generation because everyone wants to do their best to leave their grandchildren something special."
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Talent retention. Family-owned businesses may also have difficulty attracting and retaining the best outside talent for

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various management roles

Outline the stages involved in family business life cycle

- First stage: The wonder period
- Second stage: The blunder period
- Third stage: The thunder period
- Fourth stage: The sunder or plunder period

List and explain four key sets of goals that matter to family business

- **Economic**: Wealth creation and preservation is about growing and sustaining the family‟s wealth.
- **Social:** Symbolic responsibilities and business reputation are important for many families. They might see themselves as representing the interests of their community, the larger business community, or even their community, the larger business community, or even their nation
- **Psychological**: Individual talent development and emotional

wellbeing represent the family‟s attempt to use its business activities as a platform for developing its members‟ skills and creating opportunities for them to experience professional success.

- **Spiritual**: The family seeks to create deeper personal or collective meaning in their lives. Typically these goals are expressed through religious commitment or service to others with no business connections.

Comprehensively explain the challenges confronting family business

- Challenges that arise from the environment in which companies operate:

. Unawareness of policy makers of the specificities of family businesses, and their economic and social contribution;

. Financial issues (e.g. gift and inheritance tax, access to finance without losing control of the firm, favourable tax treatment of reinvested profits).

Challenges that develop as a consequence of the family firm's internal matters:

. Unawareness by family firms of the importance of planning business transfers early;

. Balance between the family, ownership and business aspects within the enterprise;

. Difficulties in attracting and retaining a skilled workforce Challenges related to educational aspects, which have an **impact on both the business environment and on family business internal matters:**

. Lack of entrepreneurship education and family-business-specific management training and research into family-business-specific topics, plus effective coordination with education systems to ensure proper follow-up

As a trained entrepreneur, discuss how conflict in family business can be managed

1. Create a culture or norm that genuinely invites appropriate one-on-one discussions when conflict begins to build in family business.
2. Bring in an outside, third-party facilitator when necessary and appropriate.
3. Set a specific time and place for the discussions.
4. Strive to create a communication atmosphere that is safe for all parties- where open and genuine sharing result in compassionate listening, not defensive criticism.
5. Avoid attributing blame or responsibility for the conflict

Exhaustively discuss the dimension of interdependency in family business

Within the family, it is a common practice that people depend on each other for various reasons and different things. Members of the same family look up to one another for support physically, emotionally, financially and spiritually. There is a natural confidence (mostly based on emotional ties) that if a need arises within the family or among any of its members, other members will be willing to bridge the gap without much solicitation. Lumpkin et al., identified four characteristics under the interdependency dimension:

1) Reliance on one another;
2) Cohesion;
3) Emotional ties and closeness; and
4) Support of family members.

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Briefly explain the concept of family orientation

Lumpkin, Martin and Vaughn (2008) to explain the dynamics of the family through a construct called Family Orientation „FO". The „FO" construct was developed to provide a clearer picture on how individual family members relate to the family. This might help in he understanding of how individuals within a family business behave. In answering the question of the distinctiveness of family businesses, it is important to have a good understanding of the dynamics within the family. Family Orientation provides a detailed explanation of how individual family members relate to the family

Briefly Outline the five dimensions of family orientation as opined by Lumpkin et al

Tradition

Tradition refers to the recognition of a shared history and practices that connects individual family members to each other. Under, family orientation construct, tradition is a fundamental element.

Stability

Stability refers to the sense of permanence in any system. In a family, stability represents those aspects of the family that ensures that its legacy is preserved and continued.

Loyalty

Loyalty is central to the other dimensions. It is the force that binds a family together. Without loyalty on the part of individual family members, the willingness to follow set traditions; maintain stability within the family; trust people, earn other people"s trust; and ensure dependency on each other, cannot be achieved.

Trust

Trust is defined as a psychological state comprising of the intention to accept a vulnerable position by a party based on a positive expectation of the intention or behaviour of the another party. Trust within the family system is built on familial connection, shared belief, shared history, similar approach to issues and common characteristics

Interdependency

Within the family, it is a common practice that people depend on each other for various reasons and different things. Members of the same family look up to one another for support physically, emotionally, financially and spiritually. There is a natural confidence (mostly based on emotional ties) that if a need arises within the family or among any of its members, other members will be willing to bridge the gap without much solicitation.

Explain the Bull's Eye Model

Shanker and Astrachan (1996) proposed the Bull"s Eye Model for a clearer identification of the components of family involvement in a business. The Bull Eye"s model was a employed a quantitative approach to assess the contributions of family businesses to the United States of America and its economy. The Bull"s Eye Model categorises family business into three groups (broad, middle and narrow), based on the degree of family involvement in them. The broad definition captures direct family involvement as very minimal. Under the broad definition, the family is involved to strategically control the business to facilitate generational transfer. The middle definition depicts a business that has the direct involvement of the founder or a descendant in management. The narrow definition, which occupies the central point in the concentric circles, shows a firm that has of multiple generations of a family directly involved in ownership, management, and control

Explain the following terms as they relate to family business (i) Family (ii) Family business (iii) Familiness (iv) Entrepreneurial orientation

Family; family has been defined as "people who have a shared history and shared future, bound by blood, legal and/or historical ties. In the context of family business research, however, one can more clearly define family as the group of people related either by blood or marriage to the founder or founders of the business.

Family business; family business is defined as a business regardless of company size, sector, or legal structure (though most typically privately held)- in which the majority of the ownership resides in the hands of one family and in which at least two members of the same family either own and/or managed the business together

Familiness; familiness refers to the resources and capabilities that emerge when the family and the business co-exist within the family business. The term was first coined by Habbershon and Williams (1999) and whose definition is adopted here, "…the unique bundle of resources a particular firm has because of the systems interaction between the family, its individuals members, and the business"

Entrepreneurial Orientation (EO); EO is a concept used to reflect a firm"s commitment and capability to pursue

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entrepreneurial activity. As a business level concept it is ideal for analysis of the EO of the family business. The measure of a business EO is based on three elements; risk-taking, innovation, and proactiveness. It is the most widely usedbusiness level measure of EO.

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